ATHI RIVER MINING LTD

AUDITED GROUP RESULTS
FOR THE YEAR ENDED 31 DECEMBER 2006

CONSOLIDATED INCOME STATEMENT	**2006**	**2005**
FOR YEAR ENDED DECEMBER 31,2006	**DECEMBER**	**DECEMBER**
	Ksh.'000	**Ksh.'000**
Turnover	**2,605,032**	**2,208,724**
Profit Before Tax	**387,868**	**295,920**
Taxation	(123,311)	(96,416)
Profit Before Minority Interest	264,557	199,504
Minority Interest	(7,495)	(4,380)
Profit Attributable to Shareholders	**257,062**	**195,124**
Earnings Per Share (Ksh.)	2.76	2.10
Dividends Per Share (Ksh.)	**1.00**	**0.75**

CONSOLIDATED BALANCE SHEET	**2006**	**2005**
AS AT DECEMBER 31	**Ksh.'000**	**Ksh.'000**
Assets		
Non Current Assets	3,197,514	2,181,627
Current Assets	1,056,814	1,057,037
Total Assets	**4,254,328**	**3,238,664**
Equity and Liabilities		
Capital & Reserves	1,324,776	1,162,219
Minority Interest	49,716	47,750
Total equity	**1,374,492**	**1,209,969**
Non Current Liabilities	**1,798,138**	**1,508,230**
Current Liabilities	1,081,698	520,465
Total Equity & Liabilities	**4,254,328**	**3,238,664**

CONDENSED CASH FLOW STATEMENT	**2006**	**2005**
FOR THE YEAR ENDED 31 DECEMBER	**Ksh.'000**	**Ksh.'000**
Cash Generated from Operations	452,226	326,179
Net Interest	(172,371)	(20,795)
Tax Paid	(27,770)	(56,636)
Net Cash from Operating Activities	**252,085**	**248,748**
Net Cash used in Investing Activities	(915,850)	(957,154)
Net Cash from Financing Activities	274,984	1,078,446
Increase/(Decrease) in Cash and Cash Equivalents	**(388,781)**	**370,040**
At start of the Period	241,618	(128,422)
At end of the Period	**(147,163)**	**241,618**

STATEMENT OF CHANGES IN EQUITY	**2006**	**2005**
FOR THE YEAR ENDED 31 DECEMBER	**Ksh.'000**	**Ksh.'000**
Share Capital	465,000	465,000
Share Premium	241,477	241,477
Revaluation Surplus	38,787	40,519
Revenue Reserve	579,512	415,223
Attributable to equity holders of the Parent Company	**1,324,776**	**1,162,219**
Attributable to Minority Interest	**49,716**	**47,750**
At the end period	**1,374,492**	**1,209,969**

RESULTS

During the year, turnover grew by 18% to Ksh 2.61 billion over the previous year, whilst the profit grew by 33% to Ksh 265 million as compared to the same period last year. The increase came mainly from silicate & lime divisions, driven by increased capacities due to the investments made in the previous year. Cement volumes were marginally lower in 2006 as compared to 2005. This was in spite of commissioning the new clinker plant in the last quarter of the year. Cement sales were greatly affected during October and November due to heavy rains in the Kaloleni area which destroyed a vital road link between the plant and Mombasa—Nairobi highway. The benefits from investment in the new clinker plant at Kaloleni of Ksh 1.6 billion will therefore be seen in the current year. The new clinker plant investment has led not only to a cost reduction, but also to doubling of cement capacity. Further investments in 2006 were also made in increasing capacity of sodium silicate by 50%. This plant commenced operations in December 2006. Turnover at both subsidiaries in Tanzania and South Africa also increased during the year.

During the year 2006, borrowings increased by Ksh 541 million and stood at Ksh 1.9 billion. The borrowings were used to complete the investment in clinker plant and doubling cement capacity. The fixed assets increased to Ksh 3.2 billion this year from Ksh 2.2 billion in 2005.

OUTLOOK

The Kenyan economy is seeing a robust growth particularly in the cement and construction sector. Similar growth is being witnessed in in East & Southern African regions and in the markets we are operating in. We expect the Company to perform well and operate at full capacity in all the divisions.

DIVIDEND

The Board of Directors recommends a dividend payment of Ksh 1.00 per share for the year 2006. Subject to the approval by the shareholders, the dividend shall be paid on or about 29th June 2007 to members on the register at the close of business on 29th May 2007. For this purpose, the register of members will remain closed between 30th May and 31st May, 2007.

ANNUAL GENERAL MEETING

The Annual General Meeting of the Company will be held on Tuesday 12th June, 2007 at 10.00 a.m. at The Crystal Ballroom, The Grand Regency Hotel, Nairobi.

By Order of the Board

R. R. Vora

Company Secretary
27th March 2007